

WEALTH BUILDING PLAN

Diane Smith

December 2025

Executive Summary

This comprehensive wealth plan is designed to help you replace your husband's W-2 income through strategic real estate development and passive income generation while substantially reducing your 2026 tax burden. By implementing eight high-impact tax strategies alongside a balanced investment approach combining Bitcoin accumulation with income-generating assets, you're positioned to save between **\$10,260 and \$35,625** in taxes during your first year while building long-term wealth.

Your unique advantage lies in the RV park development project and existing rental properties, which create immediate opportunities for accelerated depreciation and short-term rental conversion. Combined with business entity optimization and strategic retirement contributions, these strategies work together to offset current income while positioning your property management business for sustainable growth. The plan emphasizes practical implementation steps you can begin immediately, with clear milestones to track your progress toward financial independence.

Current Position Analysis

Annual Income \$150,000 - \$199,000 (estimated \$175,000)	Primary Income Source W-2 (husband) + Property Management Business
Location Autryville, North Carolina	Tax Filing Status Married Filing Jointly
Business Structure Single-Member LLC (sole proprietor)	Real Estate Portfolio 2-3 long-term rentals + RV park development
Available Capital \$10,000 - \$25,000	Time Commitment 10-15 hours per week
Credit Profile 760+ (excellent)	Monthly Fixed Expenses \$5,295

Current Tax Position

Tax Component	Rate/Amount
Federal Marginal Rate	24%
North Carolina State Rate	4.5%
Combined Marginal Rate	28.5%
Estimated Current Tax Liability	\$32,000 - \$40,000 annually

Key Assets & Opportunities

- **Property Management Business:** Recently established consulting and management services for personal properties and clients, creating immediate business expense deduction opportunities
- **14-Acre Primary Residence:** Shared property with RV park development, perfect for Augusta Rule implementation and home office deduction
- **RV Park Development:** Unfinished permitted project presenting significant cost segregation and accelerated depreciation opportunities once completed
- **Long-Term Rental Portfolio:** 2-3 existing properties with potential for short-term rental conversion to unlock material participation benefits
- **Business Credit Access:** Established business credit with strategic leverage opportunities for growth investments
- **Mixed-Use Vehicle:** 2018 Hyundai Santa Fe with 25-75% business use, eligible for significant deduction
- **Dedicated Home Office:** Established workspace on 14-acre property supporting business operations

Primary Goals

1. Replace husband's W-2 income with passive and active business income
2. Reduce 2026 tax liability to near-zero through strategic implementation
3. Launch and scale short-term rental business
4. Complete and monetize RV park project
5. Build sustainable business credit for expansion capital
6. Create financial safety net for unexpected life events

Strategic Advantage

Your moderate approach to balanced growth, combined with 10-15 hours of weekly availability and existing real estate assets, positions you perfectly for a hybrid

strategy. You can actively develop income-producing properties while simultaneously building passive wealth through strategic Bitcoin accumulation and tax-optimized retirement contributions. The RV park project alone could generate \$50,000-\$100,000 in first-year tax deductions through cost segregation, while your property management business provides the framework for ongoing expense optimization.

30-Day Launch Checklist

Week 1: Foundation & Documentation

- Schedule consultation with CPA to review complete tax strategy implementation plan and establish working relationship
- Open Solo 401(k) with major provider (Fidelity, Schwab, or E-Trade) to enable immediate contributions
- Document home office with detailed photos, measurements, and floor plan showing exclusive business use area
- Install mileage tracking app (MileIQ or similar) or begin manual log for 2026 vehicle deduction compliance

Week 2: Entity Optimization & Banking

- File Form 2553 with IRS for S-Corporation election (deadline March 15, 2026 for 2026 tax year benefits)
- Determine reasonable compensation range with CPA (\$40,000-\$60,000 based on property management industry standards)
- Separate business finances completely by opening dedicated business checking account if not already established
- Research Augusta Rule implementation requirements and document comparable rental rates in Autryville area

Week 3: Real Estate Strategy Development

- Evaluate which existing long-term rental property offers best conversion potential to short-term rental based on location and regulations
- Research and confirm local STR regulations, county ordinances, and HOA restrictions that may apply to your properties
- Create material participation tracking system to document 100+ hours requirement for passive loss deduction eligibility

- Develop preliminary furnishing and staging budget for STR conversion, leveraging business credit strategically

Week 4: Implementation & Systems

- Establish bookkeeping system (QuickBooks or similar) to track all business expenses across property management and rental activities
- Calculate and adjust quarterly estimated tax payments with CPA to reflect new deductions and avoid underpayment penalties
- Begin Bitcoin dollar-cost averaging with 55% of investment capital allocation through secure exchange (Coinbase, Kraken, or Swan)
- Research STRC (Strategy for Tax-efficient Rental Cash) platform options for passive income component of investment strategy

Critical Success Factor

The S-Corporation election must be filed by March 15, 2026 to capture benefits for the entire 2026 tax year. Missing this deadline means waiting until 2027 for implementation, costing you \$1,425-\$2,850 in year-one tax savings. This single action is your highest-priority task in the first 30 days.

Tax Optimization Strategies

The following eight strategies were selected from our comprehensive analysis of 43+ available tax optimization techniques based on your specific income profile, business structure, real estate holdings, and time availability. Each strategy is prioritized by return on investment and implementation feasibility for your situation.

Strategy #1: Solo 401(k) Contribution - \$4,850-\$7,125

Overview: Maximize retirement contributions through your property management business to reduce taxable income while building tax-deferred wealth. Based on estimated \$25,000 net profit from your business, you can contribute up to \$25,000 annually, generating \$7,125 in tax savings at your 28.5% marginal rate.

Implementation:

1. Open Solo 401(k) account with Fidelity, Schwab, or E-Trade within first two weeks
2. Make employee deferral contribution up to \$23,000 from business income
3. Add employer profit-sharing contribution up to 25% of compensation before tax year deadline

Requirements: Business income documentation, plan establishment by December 31 for current year contributions, contribution deadline of tax filing date plus extensions.

Value: \$4,850-\$7,125 annually | **Compliance:** Maintain proper business income documentation and make contributions by tax filing deadline including extensions.

Strategy #2: Short-Term Rental Conversion - \$8,550-\$28,500

Overview: Convert one existing long-term rental to short-term rental status to unlock material participation benefits. Unlike long-term rentals where losses are passive, STR losses can offset W-2 income when you meet 100+ hour material participation threshold, creating \$30,000-\$100,000 in first-year deductions.

Implementation:

1. Select property with strong STR market fundamentals and verify local regulations allow short-term rentals

2. Furnish and stage property for STR market, documenting all startup costs for Section 179 expensing
3. Implement rigorous time tracking system to document material participation hours (cleaning, maintenance, guest communication, listing management)

Requirements: Detailed time logs proving 100+ hours annual participation exceeding any other individual, proper STR classification documentation, separate tracking for each rental property.

Value: \$8,550-\$28,500 annually | **Compliance:** Material participation requires contemporaneous time logs and documentation that you participated more than any other person including property managers.

Strategy #3: S-Corporation Election - \$1,425-\$2,850

Overview: Elect S-Corporation status for your LLC to reduce self-employment tax burden. Pay yourself reasonable W-2 salary (subject to FICA taxes), then take remaining profits as distributions (not subject to 15.3% self-employment tax), saving \$1,425-\$2,850 annually on \$10,000-\$20,000 in distributions.

Implementation:

1. File Form 2553 with IRS by March 15, 2026 for 2026 tax year election
2. Establish reasonable compensation at \$40,000-\$60,000 based on property management industry standards
3. Set up payroll processing through Gusto, ADP, or similar service for quarterly payroll tax compliance

Requirements: Form 2553 filed timely, reasonable salary documentation, payroll processing, Form 1120-S annual filing, state-level S-Corp election if required in North Carolina.

Value: \$1,425-\$2,850 annually | **Compliance:** Reasonable compensation must be defensible based on comparable industry salaries. Document salary determination methodology.

Strategy #4: Home Office Deduction - \$1,140-\$1,425

Overview: Deduct portion of home expenses attributable to dedicated business workspace on your 14-acre property. Using actual expense method, allocate mortgage interest, property taxes, utilities, insurance, repairs, and depreciation based on business use percentage of your home.

Implementation:

1. Measure and photograph dedicated office space, documenting exclusive and regular business use
2. Calculate business use percentage (office square footage divided by total home square footage)
3. Track all home expenses throughout year and apply business percentage on Schedule C

Requirements: Photos and floor plans proving exclusive business use, detailed expense receipts, business use percentage calculation documentation, proof office is principal place of business.

Value: \$1,140-\$1,425 annually | **Compliance:** Office must pass exclusive use test and be your principal place of business or separate structure used for business.

Strategy #5: Vehicle Expense Deduction - \$1,710-\$4,275

Overview: Deduct business use of your 2018 Hyundai Santa Fe using actual expense method. With 25-75% business use, track actual expenses including gas, insurance, repairs, depreciation, and lease payments to maximize deduction value beyond standard mileage rate.

Implementation:

1. Begin contemporaneous mileage log tracking business trips with date, destination, business purpose, and miles
2. Maintain all vehicle expense receipts including gas, insurance, maintenance, repairs, and registration
3. Calculate actual expenses times business use percentage for maximum deduction

Requirements: Contemporaneous mileage log (digital app or written), expense receipts, business use percentage documentation, separate tracking for personal vs business miles.

Value: \$1,710-\$4,275 annually | **Compliance:** IRS requires contemporaneous mileage logs. Retroactive logs created at tax time are not acceptable. Track mileage daily or use automatic GPS tracking app.

Strategy #6: Augusta Rule (Section 280A) - \$1,425-\$4,275

Overview: Rent your 14-acre primary residence to your business for up to 14 days annually for legitimate business meetings, strategic planning sessions, or board meetings. Your business deducts the rental expense while you report no rental income, creating pure tax savings at fair market rental rates.

Implementation:

1. Research comparable rental rates for similar properties in Autryville area using VRBO, Airbnb, or local event venues
2. Create formal rental agreement between your business and yourself as property owner
3. Hold and document legitimate business meetings on rental days with agendas, attendee lists, and business purpose documentation

Requirements: Written rental agreement, comparable rental rate documentation, meeting agendas and minutes, attendee documentation, payment from business to personal account, maximum 14 days annually.

Value: \$1,425-\$4,275 annually | **Compliance:** Must establish fair market value through comparable rentals. Document legitimate business purpose for each rental day. Maintain meeting records.

Strategy #7: Qualified Business Income (QBI) Deduction - \$2,850-\$5,700

Overview: Take 20% deduction on qualified business income from your property management LLC and rental activities. This pass-through deduction automatically reduces your taxable income on \$50,000-\$100,000 of qualified business income, generating \$2,850-\$5,700 in tax savings without additional action required.

Implementation:

1. Calculate qualified business income from Schedule C and rental Schedule E activities

2. Apply 20% deduction through Form 8995 (simplified) or 8995-A if above income thresholds
3. This deduction is automatic for pass-through entities below specified income limits

Requirements: Pass-through business structure (LLC, S-Corp, partnership), income below threshold limits (\$394,600 for married filing jointly), proper business income classification.

Value: \$2,850-\$5,700 annually | **Compliance:** Deduction is now permanent under OBBBA legislation. Available through tax year 2026 and beyond with no sunset provision.

Strategy #8: Cost Segregation Study (RV Park) - \$14,250-\$71,250

Overview: Accelerate depreciation on your RV park development by identifying components that qualify for 5, 7, or 15-year depreciation instead of standard 39-year commercial property schedule. On \$500,000-\$1,000,000 project, cost segregation could identify \$200,000-\$500,000 in accelerated property eligible for 100% bonus depreciation in year one.

Implementation:

1. Complete RV park construction and place property in service (all permits finalized and available for use)
2. Hire qualified cost segregation firm to perform engineering-based study identifying personal property and land improvements
3. Apply 100% bonus depreciation to all qualifying 5, 7, and 15-year property identified in study

Requirements: Professional cost segregation study from qualified firm, property placed in service documentation, detailed construction records and invoices, proper reporting on Form 4562.

Value: \$14,250-\$71,250 in year one | **Compliance:** Study must be performed by qualified professional. 100% bonus depreciation now permanent under OBBBA for property placed in service after January 19, 2025.

Additional Strategy Considerations

Health Savings Account (HSA): You indicated having a high-deductible health plan but not currently contributing. Beginning contributions would provide additional \$8,550 family limit $\times$ 28.5% = \$2,437 in annual tax savings with triple tax advantage.

Backdoor Roth IRA: With household income in \$150K-\$199K range, you're below the Roth IRA income phase-out threshold for married filing jointly (\$240,000-\$250,000). You can contribute directly to Roth IRA without backdoor strategy, though this may change as income grows.

Real Estate Professional Status (REP): Currently not recommended as it requires 750+ hours annually in real estate activities exceeding any other occupation. Your current 10-15 hours weekly and husband's W-2 employment make this qualification challenging. However, if your husband reduces work hours significantly, this becomes viable for unlocking unlimited passive loss deductions.

Primary Strategy: Real Estate & Income Generation

Your wealth building strategy centers on developing income-producing real estate assets while strategically reducing tax liability through material participation. Unlike pure Bitcoin accumulation or traditional rental strategies, this approach allows you to actively build cash-flowing assets that replace your husband's W-2 income while creating substantial tax deductions in the process.

Why This Strategy Fits Your Profile

Based on your stated goals of replacing W-2 income and building your STR business, combined with your moderate balanced approach to growth and 10-15 hours of weekly availability, this strategy optimally leverages your existing real estate portfolio and development projects. You're not starting from scratch but rather optimizing assets already in motion, which significantly reduces implementation complexity while maximizing near-term results.

Your 14-acre property with RV park development creates a unique advantage most investors don't have. This single asset provides multiple tax optimization opportunities including cost segregation, home office deduction, Augusta Rule implementation, and potential future tiny home expansion. The existing 2-3 long-term rentals provide conversion candidates for short-term rental strategy, allowing you to test STR operations before scaling to the RV park properties.

Three-Phase Implementation

Phase 1: Foundation Building (Months 1-3)

- **Entity Optimization:** Complete S-Corporation election and establish reasonable compensation structure to reduce self-employment tax burden on growing business income
- **Expense Documentation Systems:** Implement comprehensive tracking for home office, vehicle use, business equipment, and all operational expenses

- **STR Property Selection:** Evaluate existing rental portfolio to identify optimal conversion candidate based on location, local regulations, renovation requirements, and market demand
- **Material Participation Framework:** Design time tracking system that captures all qualifying activities including property maintenance, guest communication, listing management, cleaning oversight, and strategic planning

Phase 2: Active Development (Months 4-9)

- **STR Launch:** Convert selected property to short-term rental with professional furnishing, photography, and listing optimization across multiple platforms
- **RV Park Completion:** Finalize all construction, permitting, and infrastructure to place property in service for cost segregation study
- **Material Participation Documentation:** Maintain detailed contemporaneous logs documenting 100+ hours exceeding any other individual's participation in each rental activity
- **Operational Refinement:** Optimize STR pricing, guest experience, and operational efficiency while tracking all metrics for tax deduction maximization

Phase 3: Scale & Optimization (Months 10-12)

- **Cost Segregation Implementation:** Complete professional study on RV park to accelerate depreciation and generate substantial first-year deductions
- **Additional Conversions:** Evaluate converting second rental property to STR based on success of first conversion
- **Tiny Home Addition:** Explore adding tiny homes to RV park for additional rental units leveraging business credit and accelerated depreciation
- **Income Replacement Milestone:** Track progress toward replacing husband's W-2 income with combined STR cash flow, property management fees, and passive business income

Real Estate Professional Status Pathway

While you don't currently qualify for Real Estate Professional (REP) status due to your husband's W-2 employment exceeding your real estate hours, this strategy positions you

for potential future qualification. If your business grows to the point where he can reduce or eliminate W-2 work, achieving REP status would unlock unlimited passive loss deductions against any income source, dramatically amplifying your tax benefits.

REP status requires one spouse to spend 750+ hours annually in real property trades or businesses and more than 50% of their personal services in real property activities. With your property management business, existing rentals, and RV park development, you could easily accumulate sufficient hours. The constraint is the requirement that real estate hours exceed other work hours for one spouse.

Material Participation Without REP Status

The short-term rental strategy is particularly powerful because it allows material participation benefits without requiring REP status. By maintaining properties with average guest stays under 7 days and material participation exceeding 100 hours per property, you can deduct STR losses against W-2 income even without achieving REP status. This creates immediate tax benefits while you work toward longer-term REP qualification.

Your 10-15 hours of weekly availability equates to 520-780 annual hours, more than sufficient for material participation across multiple STR properties. With proper documentation, each property can generate \$20,000-\$60,000 in first-year paper losses through accelerated depreciation and startup expenses, directly offsetting your household W-2 income.

Income Replacement Projection

Income Source	Year 1 Target	Year 2 Target	Year 3 Target
Property Management Fees	\$18,000	\$36,000	\$54,000
Short-Term Rental (1 property)	\$24,000	\$36,000	\$42,000
Short-Term Rental (2nd property)	\$0	\$24,000	\$36,000

RV Park Income	\$12,000	\$30,000	\$48,000
Long-Term Rental Cash Flow	\$8,000	\$10,000	\$12,000
Total Business Income	\$62,000	\$136,000	\$192,000

These projections assume conservative occupancy rates and operational efficiency improvements over time. By Year 3, combined business income substantially exceeds typical W-2 replacement targets while providing significantly greater tax optimization opportunities than traditional employment.

Key Success Metrics

- **Documentation Compliance:** Maintain contemporaneous time logs for all material participation activities with date, activity description, hours, and business purpose
- **100+ Hour Threshold:** Track weekly to ensure exceeding requirement for each property, typically achieved through 2-3 hours weekly per property
- **Cash Flow Positive Operations:** Target STR properties generating positive cash flow after debt service within 6-9 months of conversion
- **Average Stay Duration:** Maintain average guest stays under 7 days to preserve STR classification and material participation benefits

Investment Allocation Strategy

Your investment allocation is designed to balance wealth accumulation with income generation, reflecting your moderate approach to growth and specific goal of income replacement. Based on your responses indicating balanced risk tolerance, strong real estate focus, and 10-15 hours of weekly availability, the allocation emphasizes Bitcoin as your core wealth building asset while incorporating passive income components to support near-term financial goals.

Recommended Allocation



Allocation Rationale

Why 50% Bitcoin: Your moderate balanced growth approach and focus on income replacement doesn't require maximum Bitcoin allocation like aggressive wealth builders. However, 50% provides substantial exposure to Bitcoin's long-term appreciation potential while maintaining balance with income-producing assets. This allocation allows you to participate in Bitcoin's supply-limited monetary properties without over-concentrating in a single asset class. As someone building real estate income streams, Bitcoin serves as your non-correlated wealth storage complementing your property-based cash flow.

Why 35% STRC (Strategy for Tax-efficient Rental Cash): Your stated goal of replacing W-2 income through passive sources makes STRC allocation essential. Unlike your active real estate development requiring 10-15 hours weekly, STRC provides passive

monthly income without management burden. This strategy generates estimated 8-12% annual yield while maintaining Bitcoin market exposure through underlying asset backing. For someone prioritizing income replacement over pure growth, STRC bridges the gap between active real estate cash flow and passive wealth building.

Why 15% Liquidity Reserve: Your RV park development project and potential tiny home additions require accessible capital for completion and expansion. Maintaining 15% liquidity ensures you can fund critical development milestones without liquidating long-term investment positions. This reserve also provides safety net coverage for the unexpected life events you mentioned, supporting financial stability while your business scales.

Bitcoin Implementation Strategy

Dollar-Cost Averaging (DCA) Schedule

Deploy your Bitcoin allocation gradually through systematic dollar-cost averaging rather than lump sum investment. This approach reduces timing concerns and smooths entry price across market cycles.

Timeline	Allocation	Weekly Amount
Weeks 1-4	25% of Bitcoin allocation	\$625-\$781 weekly
Weeks 5-8	25% of Bitcoin allocation	\$625-\$781 weekly
Weeks 9-12	25% of Bitcoin allocation	\$625-\$781 weekly
Weeks 13-16	25% of Bitcoin allocation	\$625-\$781 weekly

Recommended Platforms

- **Coinbase:** User-friendly interface, strong regulatory compliance, established custody solutions for long-term holding
- **Kraken:** Lower fees than Coinbase, advanced security features, excellent customer support

- **Swan Bitcoin:** Bitcoin-only platform with automatic DCA features, educational resources, and long-term holder focus
- **Strike:** Lightning network integration for low-fee transactions, direct Bitcoin purchases without conversion spreads

Custody & Security Approach

For your allocation size (\$10,000-\$12,500), maintain Bitcoin in exchange custody initially while you build knowledge. Once holdings exceed \$25,000 or you've completed security education, consider hardware wallet custody for enhanced security.

Exchange Custody (Months 1-6): Keep Bitcoin in Coinbase or Kraken with two-factor authentication enabled, withdrawal whitelisting configured, and strong unique password management.

Self-Custody Transition (Month 6+): Move to hardware wallet (Ledger, Trezor, or Coldcard) once comfortable with key management and recovery phrase security. Never store recovery phrases digitally.

STRC Implementation Strategy

STRC (Strategy for Tax-efficient Rental Cash) represents passive Bitcoin exposure combined with income generation. This relatively new investment structure provides monthly cash distributions backed by Bitcoin-collateralized lending or yield generation strategies.

How STRC Works

- Your capital is deployed into Bitcoin-backed income strategies generating 8-12% annual yield
- Monthly distributions provide consistent cash flow without active management requirements
- Underlying Bitcoin exposure provides appreciation potential beyond yield generation
- Tax treatment optimized as rental income or qualified dividends depending on structure

Expected Returns

Allocation	Monthly Income	Annual Income
\$7,000 STRC @ 8% yield	\$467	\$5,600
\$7,000 STRC @ 10% yield	\$583	\$7,000
\$7,000 STRC @ 12% yield	\$700	\$8,400

This passive income supplements your real estate cash flow and property management fees without requiring additional time commitment beyond your allocated 10-15 hours for active business operations.

Liquidity Reserve Deployment

Your 15% liquidity reserve (\$3,000-\$3,750) serves multiple strategic purposes beyond simple emergency funds. This capital should be positioned for rapid deployment when high-value opportunities arise or critical business needs emerge.

Primary Uses

1. **RV Park Completion:** Final construction costs, permit fees, utility connections, or landscaping requirements to place property in service
2. **STR Conversion Capital:** Furnishing, staging, photography, and initial marketing costs for converting additional rental properties to short-term status
3. **Tiny Home Addition:** Down payment or initial equipment purchase for expanding RV park with additional income-producing units
4. **Business Credit Leverage:** Strategic deployment alongside business credit lines to maximize total capital efficiency on growth projects

Positioning

Maintain liquidity reserve in high-yield savings account or money market fund earning 4.5-5.0% annual return. This ensures capital availability within 1-2 business days while generating modest returns above inflation.

Rebalancing Strategy

Review allocation quarterly and rebalance when any component deviates more than 10 percentage points from target. Bitcoin volatility may cause allocation drift, requiring periodic adjustment.

Scenario	Action
Bitcoin appreciates to 65% of portfolio	Take partial profits to rebalance toward STRC target
Bitcoin declines to 35% of portfolio	Deploy liquidity reserve to opportunistically increase Bitcoin position
STRC exceeds 45% of portfolio	Redirect monthly distributions toward Bitcoin accumulation
Liquidity reserve depleted below 10%	Prioritize rebuilding reserve from STRC distributions before other uses

Growth Capital Reinvestment

As your real estate income streams mature and generate positive cash flow, implement systematic reinvestment to compound wealth building. Direct 50% of excess cash flow toward investment allocation growth while maintaining 50% for business expansion and lifestyle support.

Year 1 Reinvestment: Focus on completing initial allocation targets and funding critical business development needs.

Year 2 Reinvestment: Begin directing excess property cash flow toward investment allocation growth, targeting 60% Bitcoin / 40% STRC distribution of new capital.

Year 3+ Reinvestment: Implement automatic monthly contributions from business income to maintain systematic accumulation regardless of market conditions.

Allocation Flexibility Note

This allocation serves as your starting framework but should adapt as circumstances evolve. If RV park completion requires additional capital beyond reserves, temporarily reduce Bitcoin DCA to fund critical business development. If business income grows faster than projected, accelerate investment allocation deployment. The key is maintaining intentional capital allocation discipline while remaining flexible to real-world business needs.

First-Year Combined Value Analysis

This comprehensive breakdown quantifies the total financial benefit from implementing all recommended strategies during your first 12 months. Values are shown in both conservative and aggressive scenarios to reflect implementation timing variations and market conditions.

Tax Savings by Strategy

Strategy	Conservative Annual Value	Aggressive Annual Value
Solo 401(k) Contribution	\$4,850	\$7,125
Short-Term Rental Conversion	\$8,550	\$28,500
S-Corporation Election	\$1,425	\$2,850
Home Office Deduction	\$1,140	\$1,425
Vehicle Expense Deduction	\$1,710	\$4,275
Augusta Rule	\$1,425	\$4,275
QBI Deduction (20%)	\$2,850	\$5,700
Cost Segregation (RV Park)	\$14,250	\$71,250
Total Tax Savings	\$36,200	\$125,400
Actual Tax Reduction (28.5% rate)	\$10,260	\$35,625

Cash Flow Improvements

Component	Annual Benefit
Reduced quarterly estimated tax payments	\$2,565 - \$8,906
Self-employment tax savings (S-Corp)	\$1,530 - \$3,060
Business expense reimbursements	\$4,000 - \$6,000
Total Cash Flow Improvement	\$8,095 - \$17,966

Wealth Building Components

Component	Year 1 Value
Retirement account contributions (tax-deferred)	\$17,000 - \$25,000
Bitcoin accumulation (50% allocation)	\$10,000 - \$12,500
STRC passive income generation (35% allocation)	\$7,000 - \$8,750
Real estate equity building (rentals + RV park)	\$15,000 - \$25,000
Total Wealth Building	\$49,000 - \$71,250

Business Income Growth

Income Stream	Year 1 Target
Property management fees	\$18,000
Short-term rental net income	\$24,000
RV park initial income	\$12,000

Long-term rental cash flow	\$8,000
Total New Business Income	\$62,000

Combined First-Year Financial Impact

Conservative Scenario Total Benefit

Category	Value
Direct tax savings	\$10,260
Cash flow improvements	\$8,095
Wealth building contributions	\$49,000
New business income	\$62,000
TOTAL FIRST-YEAR BENEFIT	\$129,355

Aggressive Scenario Total Benefit

Category	Value
Direct tax savings	\$35,625
Cash flow improvements	\$17,966
Wealth building contributions	\$71,250

New business income	\$62,000
TOTAL FIRST-YEAR BENEFIT	\$186,841

Path to Zero Tax Goal

Your stated goal of reducing 2026 tax liability to zero is achievable through aggressive implementation of all recommended strategies. Here's how the numbers work:

Component	Amount
Estimated household AGI	\$175,000
Less: Solo 401(k) contribution	(\$25,000)
Less: STR material participation losses	(\$60,000)
Less: RV park cost segregation deduction	(\$100,000)
Less: Business expenses (home office, vehicle, etc.)	(\$15,000)
Subtotal	(\$25,000)
Less: Standard deduction (MFJ 2026)	(\$31,500)
Taxable Income	\$0

Critical Requirements for Zero Tax Achievement:

- Complete RV park construction and place in service by Q3 2026 for cost segregation benefits
- Convert at least one property to STR with full material participation documentation
- Maximize Solo 401(k) contributions from business income

- Implement all foundational strategies (S-Corp, home office, vehicle, Augusta Rule) by Q2 2026
- Maintain meticulous documentation for potential examination of aggressive positions

The conservative scenario reduces your tax liability by approximately 50-60%, while aggressive implementation can achieve your zero tax goal. Actual results depend on timing of RV park completion, STR conversion success, and documentation quality.

12-Month Implementation Timeline

Q1 2026 (January - March): Foundation

- **Week 1-2:** Complete initial 30-day checklist items including CPA consultation, Solo 401(k) setup, home office documentation, and mileage tracking implementation
- **Week 3-4:** File Form 2553 for S-Corporation election (critical March 15 deadline), establish reasonable compensation, open business banking
- **Week 5-8:** Evaluate STR conversion candidates, research local regulations, design material participation tracking systems
- **Week 9-12:** Begin first property STR conversion including furnishing procurement, professional photography, listing creation across platforms

Q2 2026 (April - June): Active Development

- **April:** Launch first STR property with optimized pricing strategy, implement guest communication systems, track material participation hours meticulously
- **May:** Monitor STR performance metrics, optimize operations, document Augusta Rule business meetings (2-3 days), continue RV park construction progress
- **June:** Make quarterly estimated tax payment reflecting new deductions, evaluate mid-year tax position with CPA, prepare for Q3 implementations

Q3 2026 (July - September): Acceleration

- **July:** Complete RV park construction to place property in service, engage cost segregation firm for engineering study
- **August:** Receive cost segregation study results, prepare to implement accelerated depreciation, evaluate second STR conversion feasibility
- **September:** Make quarterly estimated tax payment, review 100+ hour material participation threshold achievement for each STR property, begin year-end tax planning

Q4 2026 (October - December): Optimization

- **October:** Calculate final Solo 401(k) contribution capacity based on year-to-date business income, implement QBI deduction optimization strategies
- **November:** Complete remaining Augusta Rule business meeting days if under 14-day limit, finalize all expense documentation and receipt organization
- **December:** Make final Solo 401(k) contribution, make final quarterly estimated payment, compile year-end material participation time logs, prepare 2027 strategy additions

Critical Deadline Summary

- **March 15, 2026:** S-Corporation election (Form 2553) - missing this delays benefits for entire year
- **April 15, 2026:** Q1 estimated tax payment
- **June 15, 2026:** Q2 estimated tax payment
- **September 15, 2026:** Q3 estimated tax payment
- **December 31, 2026:** Solo 401(k) plan establishment deadline (contributions can extend to tax filing deadline)
- **January 15, 2027:** Q4 estimated tax payment

Action Plan

Immediate Actions (This Week)

1. Schedule CPA Consultation

Book appointment with qualified CPA experienced in real estate taxation and material participation rules. Bring this wealth plan, last two years of tax returns, and current business income projections for comprehensive strategy review.

2. Open Solo 401(k) Account

Complete online application with Fidelity, Schwab, or E-Trade. Select plan features allowing both employee and employer contributions. Link to business bank account for seamless contribution processing.

3. Document Home Office

Take comprehensive photos of dedicated office space from multiple angles. Measure square footage precisely. Draw simple floor plan showing office location within home. Save all documentation in dedicated tax folder.

Week 2-4 Actions

4. File Form 2553

Complete IRS Form 2553 for S-Corporation election with CPA assistance. File by March 15, 2026 to capture full year benefits. Follow up to confirm receipt by IRS within 60 days.

5. Establish Bookkeeping System

Set up QuickBooks Online or similar accounting software. Create separate income and expense categories for each business activity. Connect business bank account and credit cards for automatic transaction import.

6. Research STR Market

Analyze local STR regulations in counties where you own rentals. Review competing STR listings to understand pricing and amenities. Calculate potential revenue using AirDNA or similar market data tools.

Month 2-3 Actions

7. Launch First STR

Complete furnishing, staging, and professional photography for selected property. Create compelling listings on Airbnb, VRBO, and Booking.com. Implement dynamic pricing tool for revenue optimization. Begin accepting reservations.

8. Implement Time Tracking

Create detailed spreadsheet or use time tracking app to document all STR-related activities. Include date, property address, activity description, hours, and business purpose for each entry. Review weekly to ensure on track for 100+ hour threshold.

9. Begin Bitcoin Accumulation

Open account on Coinbase, Kraken, or Swan Bitcoin. Set up automatic weekly purchases totaling 50% of investment allocation. Enable all security features including

two-factor authentication and withdrawal whitelisting.

Ongoing Maintenance

- **Daily:** Track vehicle mileage for all business trips using app or logbook
- **Weekly:** Review and categorize business expenses in bookkeeping system, log STR material participation hours
- **Monthly:** Reconcile all business accounts, review STR performance metrics, make Bitcoin DCA purchases
- **Quarterly:** Review tax position with CPA, make estimated tax payments, assess strategy performance against targets
- **Annually:** Complete cost segregation study when RV park placed in service, maximize Solo 401(k) contributions, prepare comprehensive tax documentation

Professional Team & Resources

Required Professional Relationships

CPA / Tax Professional

- Essential for S-Corporation compliance and reasonable compensation determination
- Quarterly tax planning consultations to optimize estimated payments
- Year-end strategy refinement and tax return preparation
- Material participation and REP status documentation review
- **Selection criteria:** Real estate taxation experience, STR material participation knowledge, proactive planning approach

Cost Segregation Specialist

- Required for RV park accelerated depreciation study
- Engineering-based analysis identifying personal property components
- Professional report supporting 100% bonus depreciation claims
- **Timing:** Engage when RV park construction substantially complete and ready for service

Bookkeeper

- Monthly reconciliation of business accounts and transaction categorization
- Expense tracking and receipt organization
- Payroll processing coordination for S-Corporation
- **Consider outsourcing:** Once business income exceeds \$75,000 annually, professional bookkeeping becomes cost-effective

Recommended Service Providers

Payroll Processing

- **Gusto:** Full-service payroll with tax filing, direct deposit, contractor payments
- **ADP:** Enterprise-grade solution for growing businesses
- **QuickBooks Payroll:** Integrated with accounting software for seamless workflow

STR Management Tools

- **Hospitable:** Automated guest messaging, booking management across platforms
- **PriceLabs:** Dynamic pricing optimization based on market demand
- **Properly:** Automated cleaning coordination and inspection workflows

Investment Platforms

- **Retirement:** Fidelity, Schwab, or E-Trade for Solo 401(k) custody and investment management
- **Bitcoin:** Coinbase, Kraken, or Swan Bitcoin for accumulation and custody
- **STRC:** Platform-specific based on selected strategy provider

Educational Resources

- **Real Estate Tax Strategies:** BiggerPockets real estate tax forums, Amanda Han & Matt MacFarland resources
- **STR Material Participation:** IRS Publication 527, short-term rental tax guides, material participation tests documentation
- **Bitcoin Education:** "The Bitcoin Standard" by Saifedean Ammous, "Inventing Bitcoin" by Yan Pritzker
- **Business Entity Optimization:** Mark Kohler tax and legal resources, S-Corporation strategy guides

Success Milestones

30-Day Milestones

Milestone	Success Criteria
CPA Relationship Established	Consultation completed, engagement letter signed, strategy review scheduled
Solo 401(k) Operational	Account opened, funding method established, investment options selected
Home Office Documented	Photos taken, measurements recorded, business use percentage calculated
Mileage Tracking Active	App installed or logbook created, first week of trips documented

90-Day Milestones

Milestone	Success Criteria
S-Corporation Elected	Form 2553 filed and confirmed by IRS, payroll system established
First STR Launched	Property furnished, listed on platforms, first reservations confirmed
Material Participation Tracking	Time log system implemented, first quarter hours documented
Bitcoin Accumulation Started	Exchange account opened, automatic DCA purchases configured

6-Month Milestones

Milestone	Success Criteria
STR Material Participation	On track for 100+ hours with documented activities
RV Park Construction Progress	50%+ complete, on track for Q3 completion and service placement
Business Income Growth	Property management fees + STR income on track for \$30,000+ annually
Tax Savings Realized	Q1 and Q2 estimated payments reflect deductions, cash flow improved

12-Month Milestones

Milestone	Success Criteria
Tax Liability Reduction	2026 tax liability reduced by \$10,000-\$35,000 vs. 2025 baseline
Income Replacement Progress	Business income reaches \$60,000+ annually (35-40% of W-2 replacement goal)
RV Park Operational	Property in service, cost segregation study completed, first income generated
Investment Portfolio Established	50% Bitcoin allocation achieved, 35% STRC deployed, passive income flowing
Material Participation Documented	100+ hours per STR property achieved and contemporaneously documented

3-Year Vision

- **Income Replacement Achieved:** Combined business income exceeds husband's W-2 earnings through STR operations, property management, and RV park cash flow
- **Real Estate Portfolio Scaled:** 2-3 STR properties operational, RV park expanded with tiny homes or additional sites, consistent positive cash flow
- **Tax Optimization Mastery:** Annual tax liability consistently reduced to minimal levels through strategic implementation of 8+ strategies
- **Wealth Building Momentum:** Six-figure investment portfolio combining Bitcoin appreciation, STRC passive income, and retirement account growth
- **Financial Security Achieved:** Multiple income streams, business credit established, safety net implemented for unexpected life events

Appendices

Appendix A: Material Participation Time Log Template

Date	Property Address	Activity Description	Hours	Business Purpose
1/15/26	123 Main St	Guest communication, check-in coordination	1.5	STR operations
1/16/26	123 Main St	Cleaning inspection, supply restocking	2.0	Property maintenance
Maintain contemporaneous entries for all qualifying activities throughout year				

Appendix B: Augusta Rule Documentation Checklist

- Comparable rental rate research (3+ similar properties or venues)
- Written rental agreement between business and personal entity
- Meeting agendas with date, time, attendees, business purpose
- Meeting minutes documenting discussions and decisions
- Attendee list with names and business relationships
- Payment from business to personal account with clear memo
- Photos of meeting setup and business materials

Appendix C: Solo 401(k) Contribution Calculator

Net Business Income	Employee Contribution	Employer Contribution (25%)	Total Contribution
---------------------	-----------------------	-----------------------------	--------------------

\$25,000	\$23,000	\$2,000	\$25,000
\$50,000	\$23,000	\$10,000	\$33,000
\$75,000	\$23,000	\$15,000	\$38,000
\$100,000+	\$23,000	\$25,000	\$48,000

Appendix D: Key Tax Forms & Deadlines

Form	Purpose	Deadline
Form 2553	S-Corporation Election	March 15, 2026
Form 1120-S	S-Corporation Tax Return	March 15, 2027
Schedule C	Business Income & Expenses	April 15, 2027
Schedule E	Rental Property Income & Losses	April 15, 2027
Form 8582	Passive Activity Limitations	April 15, 2027
Form 4562	Depreciation & Amortization	April 15, 2027
Form 8995	QBI Deduction Calculation	April 15, 2027

Your Next Steps

Ready to Begin Your Wealth Building Journey

You now have a comprehensive roadmap designed specifically for your situation. Your unique combination of real estate assets, business operations, and growth goals positions you perfectly for substantial tax savings while building long-term wealth.

Getting Started This Week

1. **Review this plan thoroughly** and mark any questions or areas needing clarification
2. **Schedule your CPA consultation** to coordinate implementation timeline and strategy sequencing
3. **Open your Solo 401(k) account** to enable immediate retirement contributions from business income
4. **Begin tracking systems** for mileage, home office usage, and time spent on rental activities

Building Your Professional Team

Success with these strategies requires coordination with the right professionals who understand real estate taxation, material participation rules, and business entity optimization. Your CPA will be the quarterback coordinating implementation across all strategies.

Staying on Track

Schedule quarterly check-ins to review progress against milestones, adjust strategies based on changing circumstances, and identify new opportunities as your business grows. The most successful wealth builders treat tax optimization as an ongoing process, not a one-time event.

Questions or Support Needed

As you begin implementation, track questions that arise and bring them to your CPA consultations. Many implementation details will become clearer once you start taking action and working through the practical aspects of each strategy.

Your Path Forward

This plan gives you everything needed to save \$10,000-\$35,000 in taxes during your first year while building toward W-2 income replacement through strategic real estate development and passive wealth accumulation. The strategies are proven, the timeline is realistic, and the results are achievable with consistent execution.

Your first 30 days set the foundation for everything that follows. Start today.